

Asset Allocation for Safe Withdrawal Rates

One other important factor from William Bengen's original study is asset allocation. In particular, he recommended that retirees maintain a stock allocation of 50–75 percent, writing in his 1994 article, "I think it is appropriate to advise the client to accept a stock allocation as close to 75 percent as possible, and in no cases less than 50 percent."

Exhibit 4.2 illustrates of how Bengen reached this conclusion by showing the time path of maximum sustainable withdrawal rates for different asset allocations. It is hard to see exactly what is going on in the 1960s, but the general idea is that higher stock allocations tended to support higher withdrawal rates, with little in the way of downside risk. The SAFEMAX does not appear to be that much lower with higher stock allocations, though the potential for upside with higher stock allocations is quite striking as higher sustainable withdrawal rates are possible with all but the worst-case outcomes.

Exhibit 4.2

Maximum Sustainable Withdrawal Rates

For Various Asset Allocations, 30-Year Retirement, Inflation Adjustments

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds